



A-Level Economics

7136/3 Paper 3 Economic Principles And Issues
Predicted Paper Final Mark scheme

7136
Predicted Paper

Version/Stage: v1.0 [Set A — Moderate]

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Assessment Writer.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

This is a predicted paper intended for revision purposes only. It is not an official AQA publication. The mark scheme follows the style and structure of AQA published materials to support realistic practice.

Annotations

Annotation	Description
?	Unclear
AN	Analysis
APP	Application
BOD	Benefit of the doubt
EVAL	Evaluation
Highlight	Highlight
IR	Irrelevant
KU	Knowledge and understanding
NAQ	Not answered question
REP	Repetition
SEEN	Indicates that the point has been noted, but no credit has been given.
Tick	Correct point
Cross	Incorrect point

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 — Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best-fit approach for defining the level and then use the variability of the response to help decide the mark within the level.

Step 2 — Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Section A — Multiple Choice Answers

Each question is worth 1 mark. The correct answers and a brief justification are shown in the grid below.

Question	Answer	Brief explanation
01	B	A rise in real incomes shifts demand for a normal good to the right. A is a movement along, not a shift. C affects supply. D is ambiguous (depends on own good's demand).
02	B	$ PED = 0.4 < 1$, so demand is price inelastic.
03	B	Depreciation lowers the foreign currency price of exports. A is reversed — imports become dearer in sterling terms. C ignores the J-curve. D reverses cost-push pressure.
04	C	QE is the central bank buying financial assets (mainly government bonds) to expand the monetary base.
05	B	Price discrimination means different prices for the same good where the differences do not reflect cost differences.
06	B	Inside the PPF = resources not fully / efficiently employed.
07	C	Government failure = intervention produces a NET welfare loss.
08	B	A tariff raises the domestic price: consumer surplus falls, producer surplus rises.
09	B	The natural rate is the structural / frictional component — a rise in structural unemployment raises it. A is cyclical, not natural.
10	C	Progressive tax + transfers redistributes income — the most direct inequality-reducing combination.
11	B	Doubling all inputs (1,000→2,000) exactly doubles output (40→80 cap, 80→160 land, 120→240 labour) — constant returns to scale.
12	C	Profit = TR – TC. At Q = 30: 300 – 240 = 60. At Q = 40: 400 – 340 = 60. At Q = 30 MR = MC (both £7). Strictly profit is maximised at Q = 30 (the last unit where MR ≥ MC).
13	A	$(104 - 100) / 100 \times 100 = +4.0\%$.
14	C	Invention = discovery of something new; innovation = turning the invention into a marketable product / process.
15	D	Country Z: negative GDP growth, very low inflation, high unemployment — classic deflationary gap. Country X has stagflation.
16	B	Social optimum is where MSC = MSB. At Q = 200: MSC = MSB = 70. Beyond Q = 200, MSC > MSB, so additional output reduces welfare.
17	A	Good A has YED = +2.1 > 1 (luxury good) and XED = +0.8 with B (positive → substitute). A is correct. B would need $ PED < 1$, but $ PED = 1.8$ (elastic). C: C has negative YED, so inferior — not normal.
18	C	Profit maxes where MR = MC (between £8 and £10, i.e. Q = 30 to 40). At Q = 30 MR = £12 > MC = £8; at Q = 40 MR = £8 < MC = £10. Optimal output lies between.
19	C	The top 20% share falls from 48% to 37% and the bottom 20% rises from 2% to 8% — taxes and transfers have reduced inequality.
20	B	Profit max where MC = MR (standard monopoly rule).
21	B	Inelastic demand → consumers have few alternatives → most of the tax burden is passed on to them in higher prices.
22	B	With spare capacity (Keynesian horizontal SRAS), AD rises translate into higher real GDP with minimal price-level change.
23	C	Kinked demand is the classic explanation of price stability in oligopoly: firms fear price-matching retaliation on cuts but no follow on rises.
24	B	Short-run Phillips: low unemployment ↔ high inflation (negative relationship).
25	C	In the long run, entry erodes supernormal profit until P = AC at the profit-maximising output — normal profit only.
26	A	J-curve: quantities of exports/imports adjust slowly while import values rise immediately → current account worsens before improving.

Question	Answer	Brief explanation
27	A	Specific tax = flat £ per unit (parallel shift). Ad valorem = % of price (pivots supply, larger absolute impact at higher prices).
28	B	The further the Lorenz curve from the diagonal, the higher the Gini. Country Y is further below the diagonal → higher Gini.
29	C	In the inelastic region, $\% \Delta P > \% \Delta Q$ → price rise raises total revenue.
30	B	Deadweight loss triangle is between MSC and MPB from Q_s to Q_p — the over-production area valued at (social cost – social benefit).

Section B

Case study: UK productivity, living standards and green infrastructure

Generic marking grid for the 10-mark data-response question

Level	Response	Max 10 marks
3	Good response that: • uses the data accurately and effectively to support the argument • identifies relevant economic concepts and applies them to the question • reaches a supported judgement using evidence from the extracts.	8–10 marks
2	Reasonable response that: • uses some data to support the argument but may lack precision • shows understanding of relevant economic concepts • reaches a judgement, though support may be limited.	4–7 marks
1	Weak response that: • makes limited reference to the data • shows limited understanding of relevant economic concepts • offers a judgement with little support.	1–3 marks

3 1 Using the data in the Extracts, examine the extent to which weak productivity growth has constrained UK living standards since 2008. **[10 marks]**

Relevant issues include:

- Real GDP per capita rose only 4.1% between 2008 and 2024 (Extract A) — a very weak long-run living-standards performance
- Real median weekly earnings were essentially flat (100.0 → 100.4 = +0.4% over 16 years) — the longest stagnation in UK modern history (Extract B)
- Output per hour rose just 4.8% over 16 years (Extract A) — compared with the pre-2008 trend of roughly 2% per year, which would have implied +30% growth over the period
- Business investment fell from 10.8% to 9.6% of GDP (Extract A) — consistent with the productivity-investment link
- Productivity = output per hour × hours per worker × workers per person. With flat productivity and broadly stable hours, real GDP per capita growth depends on productivity
- Evaluation: other factors (rising female participation, demographic change, changes in working hours) also affect living standards — correlation between productivity and living standards is strong but not the only factor
- Regional variation (Extract C): productivity constraints are geographically concentrated — London approaches German levels while parts of the North are 25% below UK average
- Concluding judgement: weak productivity has been the most important constraint on UK living standards since 2008 — without a productivity revival, real wage stagnation is likely to continue

Levels of response marking grid — 15-mark questions

The following generic grid should be used when marking all 15-mark questions in Section B (questions 0 9, 1 1 and 1 3).

Level of response	Response	Max 15 marks
3	A good response that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

- 3 2** Using Extracts A, B and C and your knowledge of economics, explain why microeconomic and macroeconomic policies may both be needed to address regional inequality in the UK. **[15 marks]**

Relevant issues include:

- definition of regional inequality — disparities in output, productivity, wages and employment between regions
- evidence from Extract C: London / South East productivity comparable to Germany; northern England and Wales productivity 25% below UK average; pay gap of roughly 50% between highest- and lowest-paid regions
- Microeconomic causes of regional inequality: skills mismatches; local labour market failures; under-provision of infrastructure; planning restrictions; agglomeration effects; firm-specific human capital
- Microeconomic policies: targeted skills training; enterprise zones with tax incentives; planning reform; local transport investment; regional R&D; subsidies; FDI promotion
- Macroeconomic causes of regional inequality: uneven distribution of aggregate demand; monetary policy geared to national (often London-driven) conditions; exchange rate affects different sectors differently; national fiscal rules may underfund regional priorities
- Macroeconomic policies: regional infrastructure investment funded at national level; regionally-differentiated monetary / fiscal tools (largely symbolic in UK); national industrial strategy; tax reform to balance London's dominance
- Why BOTH are needed: microeconomic interventions address local supply-side bottlenecks; macroeconomic policies provide the demand, funding and institutional framework. Without macroeconomic support, microeconomic initiatives lack resources; without microeconomic detail, macro funding may be poorly targeted
- Examples: levelling up (micro — grants for local investment, planning reform) + national infrastructure (macro — HS2, fibre broadband)

- Evidence from Extract C: IFS finding of widening London / rest-of-UK productivity gap despite policy initiatives suggests current balance is insufficient
- Trade-offs: macroeconomic intervention can distort national markets; microeconomic interventions may be captured by local political interests; administrative cost of regional policy

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

Generic marking grid — 25-mark recommendation question

This grid is taken from the standard 25-mark level of response grid used elsewhere in the Paper 1 / Paper 2 mark schemes.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which is, at best, very weak • includes attempted analysis which is weak and unsupported.	1–5 marks

- 3 3** Considering the information in Extract D and the original evidence in Extracts A, B and C, do you recommend that the UK government should prioritise large-scale public investment in green infrastructure as the central pillar of its growth strategy? Justify your recommendation. **[25 marks]**

Areas for discussion include:

- The case FOR prioritising green infrastructure:
 - • addresses the productivity puzzle via higher capital stock (Extract A — business investment at historic lows)
 - • contributes to regional rebalancing — manufacturing, grid upgrades and offshore wind tend to be sited outside London, addressing Extract C's regional concerns
 - • meets the UK's legally-binding net-zero target — dual policy dividend
 - • R&D; spillovers / positive externalities — green tech is an area of potential comparative advantage
 - • Keynesian multiplier effects in an economy with persistent spare capacity
 - • bond-market conditions may support debt-financed public investment if growth multipliers are large
- The case AGAINST:
 - • fiscal cost (1% of GDP p.a.) requires higher taxes, borrowing or spending reallocation
 - • government-failure risks — HS2 cost overruns illustrate delivery challenges
 - • 70% of UK workers are in services (Extract D), which may not directly benefit
 - • opportunity cost vs other investment priorities (education, health, digital infrastructure)
 - • risk of 'picking winners' — carbon pricing is arguably more efficient than direct government investment
 - • concentrates growth strategy on one area — exposes the UK to sectoral shocks
- Alternative / complementary strategies:
 - • carbon pricing + private investment (market-led transition)
 - • education / skills investment — addresses productivity puzzle more broadly
 - • R&D; tax credits and innovation policy
 - • planning / housing reform — addresses supply-side bottleneck
 - • regional policy focused on 'levelling up' of existing sectors
- Evaluation framework:
 - • effectiveness depends on DELIVERY — not just the decision to invest but the quality of execution
 - • scale: £28bn/year is substantial but UK investment deficit is larger
 - • timing: green infrastructure matures over 10+ years; productivity issues may require faster responses
 - • complementarity: most experts recommend a portfolio approach, not a single pillar

Indicative judgement:

- A reasoned recommendation — for OR against — can be rewarded highly if well-supported
- Strongest responses will nuance 'central pillar' — arguing that green investment should be a major (but not sole) element of strategy, alongside skills, R&D; and services reform
- Candidates who recognise the trade-offs (fiscal cost vs growth potential; regional rebalancing vs services economy; delivery risk vs climate urgency) and reach a supported conclusion will reach Level 5
- Candidates who simply summarise both sides without clear judgement should be placed in Level 3 or 4

Use the levels mark scheme for 25-mark questions to award candidates marks for this question. The use of relevant diagrams and effective use of the extracts should be rewarded.

END OF MARK SCHEME